

Multiple choice Questions

Economics II - János Kornai (2025) - Multiple Choice Questions

1. What is a chrematistic plan in the Aristotle-Marxian scheme?
 - A) $M-C-C'-M'$ where $M' \geq M$
 - B) $M-C-M$ where $C \geq C'$
 - C) $M-(C-C')-M'$, where $M' \geq M$
 - D) $C-M-M'-C'$
2. In a cashless market economy model, what is the only cost of widget production?
 - A) Rent
 - B) Wages
 - C) Capital
 - D) Interest
3. According to Kornai, capitalism is characterized as:
 - A) An equilibrium system
 - B) A balanced demand economy
 - C) A surplus economy
 - D) A cash flow economy
4. What happens if firms cannot achieve nominal growth?
 - A) Markets clear naturally
 - B) A general equilibrium occurs
 - C) A crisis results
 - D) Interest rates drop
5. What is the interest rate assumed in the widget production example?
 - A) 5%
 - B) 10%
 - C) 15%
 - D) 20%
6. Households in the model spend what percentage of their money stocks?
 - A) 50%
 - B) 60%
 - C) 80%
 - D) 90%
7. If no additional money is introduced into the economy, what is the outcome for firms?
 - A) Balanced profit
 - B) Bankruptcy

- C) Full employment
 - D) Stable prices
8. In the example, what causes V1 to avoid bankruptcy?
- A) Interest rate cut
 - B) Wages reduction
 - C) V2's reinvestment
 - D) Government bailout
9. The decrease in profit from \$500 to \$420 illustrates:
- A) Growth in productivity
 - B) Decrease in investment
 - C) Decreasing tendency of the profit rate
 - D) Full realization of plans
10. A chrematistic economy requires what for sustainability?
- A) Real wage stability
 - B) Nominal growth
 - C) Price equilibrium
 - D) Less labor division
11. What does excess supply in a market imply?
- A) Demand is rising
 - B) More sellers than buyers
 - C) Prices will always increase
 - D) There's always inflation
12. Kornai's system is:
- A) Always in equilibrium
 - B) Equilibrium only in all periods
 - C) Not in full equilibrium in all periods
 - D) Never dynamic
13. What does FM' represent in the economic model?
- A) Firm's assets
 - B) Realized money outflow
 - C) Foreign market value
 - D) Forecasted money input
14. What is the significance of the \$2200 vs \$2000 in total FM'?
- A) Indicates inflation
 - B) Shows money leakage
 - C) Illustrates excess withdrawal plans
 - D) Reveals tax evasion

15. The failure to realize $M' \leq M$ in a period demonstrates:
- A) Successful chrematistic planning
 - B) Stock-flow equilibrium
 - C) Money withdrawal mismatch
 - D) Cost efficiency
16. The production model involving 2 machines and 4+4 hours of work aims to compare:
- A) Capital vs labor
 - B) Guild vs entrepreneur production
 - C) Cash vs credit
 - D) Export vs local production
17. In the entrepreneur model, what increases capital use intensity?
- A) Less labor
 - B) More technology
 - C) Increased division of labor
 - D) Lower interest rates
18. Which factor does *not* contribute to an entrepreneur's efficiency over a guild master?
- A) Continuous money use
 - B) Price differentiation
 - C) Increased labor hours
 - D) More production phases
19. What is the impact of a greater number of work phases?
- A) Lower wages
 - B) Higher product price
 - C) Greater capital intensity
 - D) Reduced innovation
20. What does "winner takes all" imply in the capitalist model?
- A) Equal profit distribution
 - B) Monopoly tendencies
 - C) Wage equality
 - D) Price control
21. What drives innovation according to the chrematistic model?
- A) Labor unions
 - B) Market prices
 - C) Capital availability
 - D) Legal systems
22. Why can entrepreneurs outcompete guild masters?
- A) Better working hours

- B) Access to innovation and capital
- C) Government support
- D) Price subsidies

23. What becomes scalable in wage labor systems?

- A) Machines
- B) Time
- C) Human labor
- D) Capital cost

24. In a capitalist system, what limits the competitiveness of the guild master?

- A) Lack of innovation
- B) Fixed work hours
- C) Access to capital
- D) Price regulation

25. A Ponzi game in economics is used to illustrate:

- A) Rising inflation
- B) Currency manipulation
- C) Sustainability of deficit financing
- D) Need for constant inflow

26. What phrase describes a competition aiming to eliminate rivals?

- A) Race to the bottom
- B) Winner takes all
- C) Hostile takeover
- D) Market saturation

27. What does Kornai believe about full equilibrium?

- A) It is constant
- B) Exists in every period
- C) Not achievable in all periods
- D) Maintained by price changes

28. What is the source of the quiz question regarding Hungarian banking reform?

- A) OECD
- B) IMF
- C) Ábel I.-Szakadát L. (1997)
- D) World Bank

29. When did Hungary adopt a two-tier banking system?

- A) 1983
- B) 1985
- C) 1987

D) 1989

30. Who is associated with the quote: "Give me control of a nation's money..."?

A) Robert Kennedy

B) János Kornai

C) Mayer Amschel Rothschild

D) John F. Kennedy

Section 2: Answer Key

1. C
2. B
3. C
4. C
5. B
6. C
7. B
8. C
9. C
10. B
11. B
12. C
13. B
14. C
15. C
16. B
17. C
18. B
19. C
20. B
21. C
22. B
23. C
24. B
25. D
26. B
27. C
28. C
29. C
30. C